

Using examples, explain the purpose of Purchasing Power Parity (PPP)

#definition

#ppp

#exchange-rate

Purchasing Power Parity (PPP) is related to the real-world scenario of travellers being able to buy more in countries with a weaker currency, relative to the traveller's currency, for a **floating exchange rate**. For example, a Singaporean would likely be able to purchase more goods and services in Thailand after converting Singapore Dollars (SGD) into Thai Bhat (THB). In other words, the **nominal floating exchange rate** between SGD and THB suggests that the cost of a **basket of goods** in Singapore would be equivalent to the same basket of goods in Thailand. So, since $1 \text{ SGD} \approx 25 \text{ THB}$, a basket of goods worth 100 SGD in Singapore should be worth 2500 THB in Thailand.

Of course, in the real world, this does not happen. Instead, the SGD is **overvalued** relative to the THB since identical basket of goods tend to cost less after converting SGD into THB using the nominal floating exchange rate. THB is **undervalued**, relative to SGD.

The **real floating exchange rate**, or the **PPP**, would be the measurement that depends on comparing the prices of identical products (baskets of goods) between countries in order to obtain an exchange rate which better reflects changes in prices due to things like inflation in one country. For example, the Big Mac Index (BMI)^[1] compares the prices of a McDonald's Big Mac in different countries to obtain the **PPP** between the two countries.

So, a Big Mac in Singapore costs just under 7 SGD, whilst it costs 135 THB $\approx 5.50 \text{ SGD}$.

Therefore, the PPP would be:

$$1 \text{ SGD} = \frac{7}{5.50} \text{ THB}$$

Theory states that, since THB is undervalued, the demand for THB would rise as tourists would spend more, leading to an appreciation in THB and a correction to the nominal floating exchange rate. However, this is not the case in real life — **speculation** is the main deciding factor behind the exchange rate of a country.

1. Using <https://www.theburgerindex.com/analyze> ↩